

Bessembinder Corrections: trfd-Recovered — No Clip

All matches; CRSP screened to CIZ common stock; gap-guarded returns; `trfd`= 1 for never-dividend securities. **No clip: every matched return is included.** RAW = uncorrected Compustat; NEW = Bessembinder-corrected (Section 6 / Section 8). $\Delta = \text{ret_comp} - \text{ret_crsp}$. A handful of broken decimal-error returns (max $\Delta \approx 10453$) dominate the variance, so RAW correlations collapse where they land (Small, Micro).

Size Group	All		Mega		Large		Small		Micro		Nano		Other	
Metric	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New
n (M)	56.13	52.73	5.66	5.60	11.16	10.89	13.48	12.98	20.29	18.93	5.18	3.97	0.37	0.36
Corr	0.034	0.821	0.998	0.999	0.998	0.999	0.013	0.805	0.104	0.784	0.500	0.837	0.761	0.932
$E \Delta $ (10^{-4})	6.98	3.65	0.17	0.17	0.26	0.25	8.81	1.04	7.69	6.03	21.0	14.3	13.5	12.3
Std Δ	1.430	0.033	0.0013	0.0009	0.0020	0.0018	2.848	0.028	0.514	0.042	0.158	0.056	0.039	0.018
Max $ \Delta $	10453.6	176.3	1.80	0.88	2.92	2.92	10453.6	97.0	2299.3	176.3	174.3	95.0	18.8	4.00
$ \Delta > 0.1$	35406	27350	58	53	224	210	1290	1189	14436	13201	18813	12194	585	503
$ \Delta > 0.5$	2787	1758	5	2	19	15	153	139	855	699	1683	840	72	63
$ \Delta > 1$	754	365	1	0	6	4	51	41	271	173	406	132	19	15

Bessembinder Corrections: trfd-Recovered — Clipped

Same as page 1 but with $|\text{ret_comp}| > 10$ dropped from both panels (138 RAW / 23 NEW rows in All). Removing the variance-dominant decimal-error returns restores the RAW All correlation from 0.034 to 0.953 and NEW from 0.821 to 0.976. This is a coarse stand-in for JKP's downstream winsorization of Compustat returns against CRSP.

Size Group	All		Mega		Large		Small		Micro		Nano		Other	
Metric	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New
n (M)	56.13	52.73	5.66	5.60	11.16	10.89	13.48	12.98	20.29	18.93	5.18	3.97	0.37	0.36
Corr	0.953	0.976	0.998	0.999	0.998	0.998	0.988	0.989	0.955	0.974	0.924	0.962	0.886	0.932
$E \Delta $ (10^{-4})	4.17	3.57	0.17	0.17	0.26	0.25	0.97	0.95	6.13	5.93	17.0	14.0	13.0	12.3
Std Δ	0.0157	0.0105	0.0013	0.0009	0.0020	0.0018	0.0060	0.0057	0.0166	0.0124	0.0379	0.0242	0.0242	0.0180
Max $ \Delta $	16.93	11.16	1.80	0.88	2.92	2.92	6.97	6.97	16.93	11.16	12.90	9.94	9.42	4.00
$ \Delta > 0.1$	35315	27342	58	53	224	210	1286	1186	14411	13199	18752	12191	584	503
$ \Delta > 0.5$	2696	1750	5	2	19	15	149	136	830	697	1622	837	71	63
$ \Delta > 1$	663	357	1	0	6	4	47	38	246	171	345	129	18	15

$|\Delta|$ Frequency by Size Group

Distribution of $|\Delta| = |\text{ret_comp} - \text{ret_crsp}|$ within each size group, as a percent of that group's matched returns. RAW = uncorrected; NEW = Bessembinder-corrected with the Section-8 gap-guard. The corrections thin the heavy tail ($|\Delta| \geq 1$) almost entirely in Nano/Micro, leaving Mega/Large unchanged.

$ \Delta $ bin	Mega		Large		Small		Micro		Nano		Other	
(% of group)	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New
= 0	98.6661	98.6744	98.5832	98.5962	97.3613	97.3753	90.4461	90.3999	79.3702	79.1091	88.2209	88.3505
0–0.01	1.2938	1.2855	1.3519	1.3383	2.4432	2.4273	8.2220	8.2710	18.8915	19.2188	9.0571	8.9067
0.01–0.1	0.0391	0.0391	0.0628	0.0635	0.1860	0.1883	1.2607	1.2593	1.3742	1.3646	2.5627	2.6020
0.1–0.5	0.00094	0.00091	0.00184	0.00179	0.00844	0.00809	0.06695	0.06606	0.33150	0.28634	0.13969	0.12308
0.5–1	0.00007	0.00004	0.00012	0.00010	0.00076	0.00076	0.00288	0.00278	0.02471	0.01786	0.01443	0.01343
1–10	0.00002	0	0.00005	0.00004	0.00036	0.00030	0.00120	0.00090	0.00660	0.00325	0.00490	0.00420
≥ 10	0	0	0	0	0.00002	0.00002	0.00013	0.00002	0.00126	0.00008	0.00027	0

$|\Delta|$ Cumulative Distribution by Size Group

Cumulative percent of each size group's matched returns with $|\Delta| = |\text{ret_comp} - \text{ret_crsp}|$ at or below the row threshold (the CDF; rows climb toward 100). RAW = uncorrected; NEW = Bessembinder-corrected with the Section-8 gap-guard.

$ \Delta \leq$	All		Mega		Large		Small		Micro		Nano		Other	
(% of group)	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New	Raw	New
$= 0$	93.5194	93.8258	98.6661	98.6744	98.5832	98.5962	97.3613	97.3753	90.4461	90.3999	79.3702	79.1091	88.2209	88.3505
< 0.01	99.2767	99.3120	99.9599	99.9599	99.9352	99.9345	99.8045	99.8025	98.6681	98.6709	98.2617	98.3279	97.2780	97.2573
< 0.1	99.93690	99.94811	99.99898	99.99905	99.99799	99.99807	99.99043	99.99084	99.92884	99.93025	99.63594	99.69247	99.84070	99.85930
< 0.5	99.99459	99.99644	99.99991	99.99996	99.99983	99.99986	99.99885	99.99891	99.99568	99.99623	99.96333	99.97657	99.97740	99.97958
< 1	99.99843	99.99920	99.99998	100.00000	99.99995	99.99996	99.99961	99.99968	99.99861	99.99903	99.99011	99.99574	99.99265	99.99357
< 10	99.99983	99.99998	100.00000	100.00000	100.00000	100.00000	99.99998	99.99998	99.99987	99.99998	99.99874	99.99992	99.99973	100.00000

Universe / Observation Counts

Daily observations aligned to Compustat coverage (on/after 1983-12-30). CRSP is screened to common stock on a main exchange via the V2 (CIZ) fields; Compustat is linked to CRSP through CCM. The matched set is the intersection used in the tables above.

Source	Stocks	Daily obs
CRSP (U.S.), all	35,730 permno	80,494,482
CRSP common stock (CIZ screen)	25,119 permno	58,663,504
Compustat linkable to CRSP (CCM)	26,194 gvkey+iid	67,943,336
Matched (CIZ CRSP $\cap$ Compustat)	—	56,164,135
with non-null return, $ \text{ret_comp} \leq 10$ (n)	—	56,132,957